

The project is intended to reduce congestion, improve safety, and improve traffic operations along University Street between Citrus Avenue and Central Avenue. The project includes new traffic signals at the I-10 eastbound off-ramp at University Street and the I-10 westbound on-ramp at University Street and street improvements within the project limits including drainage improvements, pavement construction, and landscaping replacement.

In addition to the University I-10 Interchange project, on February 16, 2016, the City entered into a memorandum of understanding (MOU) to commence the alternative Interstate 10 – Alabama Street Interchange project. The project is designed to improve Interstate 10 at the Alabama Street Interchange between Orange Tree Lane and Industrial Park Avenue, with on and off-ramp widening, the addition of turning lanes, new pavement, and striping. As part of the MOU, funding responsibilities for the development of the estimated \$10.96 million Project were delineated for the parties involved. Per SBCTA's 10-Year Delivery Plan and SBCTA's Development Mitigation Nexus Study, the City, SBCTA, and County of San Bernardino have funding responsibilities for the Project. Specifically, SBCTA has 49.5% of the Public Share of funding responsibilities (~\$5.26m) for the Project, and the City and County share the remaining 50.5% (~\$5.70m) Development Share, with City responsible for 34.9% ~ (\$1.99m) and County 65.1% (~\$3.71m). In November 2016, City Council approved a Development Mitigation Cooperative Agreement with the County in order to memorialize the financial responsibilities between the City and County for their shared Development Share responsibilities.

In mid to late 2019, SBCTA approached City and County about cost increases identified during the design of the Project. The total project cost has risen from the original estimate of \$10.96 million to a new estimate of \$15.15 million, a rise of \$4.19 million. With this new estimate, City costs for the Project have risen from \$1,990,065 million to \$2,506,921, an increase of ~\$516,856. SBCTA has completed the construction of the project, which began in January 2022 and finished in December 2022.

The following table shows the balances, receipts, and expenditures of the Freeway Interchange Fund for the current and last five fiscal years:

	2017-2018	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023
Beg. Balance	2,855,127	2,766,083	2,941,748	3,815,420	3,046,266	1,618,566
Receipts	156,368	559,907	1,293,437	243,103	479,165	2,948,193
Expenditures	(245,412)	(384,243)	(419,765)	(1,012,257)	(1,906,865)	(2,511,366)
Ending Balance	2,766,083	2,941,748	3,815,420	3,046,266	1,618,566	2,055,393

Impact fee revenue in this category consists of **\$181,987** in fees, reimbursement from the County of San Bernardino of \$2,697,068 for a share of the portion of construction costs related to the I-10 Alabama Street Project, and \$69,138 in investment income.

Disbursements consist of \$3,640 in administrative charges. Expenses also included \$34,894 that was disbursed in connection with the City's cooperative cost-sharing agreement for project management